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NATURE OF PROCEEDINGS: Hearing on

Demurrer

The Demurrer to the Second Cause of Action
in Plaintiff's Complaint is overruled.

BACKGROUND

Plaintiff David Mandel (Plaintiff) filed

this action against Aether Holdings, Inc. (Aether) and Lin Kuan Liang Nicolas,
also known as Nicolas Lin (Lin) (collectively, "Defendants"), alleging that
Aether promised him the office of chief executive ahead of its initial public
offering and then refused to appoint him.

The causes of action are: (1) Breach of Oral
Contract; and (2) Promissory Fraud.

Aether removed the action to the United
States District Court for the Central District of California, asserting
diversity jurisdiction on the ground that Lin was a sham defendant. The
District Court remanded for lack of subject matter jurisdiction and denied
Defendants' pending motion to dismiss as moot.

Following remand, Defendants filed a
Demurrer. Plaintiff filed an Opposition.

REQUEST FOR JUDICIAL NOTICE

Plaintiff requests judicial notice of records filed in the federal action, including his motion to remand and the order remanding the action. (RJN, Exs. A, D.) The Court grants the request regarding the existence and legal effect of those records and denies it regarding the truth of the matters asserted in them, including any factual findings. (Evid. Code, § 452, subd. (d); *Sosinsky v. Grant* (1992) 6 Cal.App.4th 1548, 1564.)

LEGAL STANDARD

When considering demurrers, courts read the allegations liberally and in context. (*Wilson v. Transit Authority of City of Sacramento* (1962) 199 Cal.App.2d 716, 720-721.) In a demurrer proceeding, the defects must be apparent on the face of the pleading or via proper judicial notice. (*Donabedian v. Mercury Ins. Co.* (2004) 116 Cal.App.4th 968, 994.) “A demurrer tests the pleading alone, and not the evidence or the facts alleged.” (*E-Fab, Inc. v. Accountants, Inc. Servs.* (2007) 153 Cal.App.4th 1308, 1315.) Courts therefore assume the truth of the complaint’s properly pleaded or implied factual allegations. (*Ibid.*) But they do not accept as true deductions, contentions, or conclusions of law or fact. (*Stonehouse Homes LLC v. City of Sierra Madre* (2008) 167 Cal.App.4th 531, 538.)

ANALYSIS

I. Remand Order

Plaintiff argues that the District Court has already recognized that he states or can state a claim for promissory fraud against Lin. (Opp. at pp. 4:17-5:11, 9, fn. 3.)

The District Court applied the fraudulent joinder standard. That standard asks whether the removing party has shown that the plaintiff could not possibly recover against the non-diverse defendant, and it takes into account whether amendment could cure a defective pleading. Against that standard, the court held that Aether had not made the required showing, and it added that Plaintiff might salvage the claims against Lin by amendment even if he had pleaded them without sufficient particularity. (RJN, Ex. D.) A court that resolves removal jurisdiction on that footing does not

decide whether the pleading states a cause of action. The denial of the motion

to dismiss as moot likewise decided nothing about that motion's merits. (See *Robinson v. U-Haul Co. of California* (2016) 4 Cal.App.5th 304, 322 [a ruling

that a matter is moot "is more accurately characterized as a decision not to decide anything"].) The Court therefore decides the sufficiency of the second cause of action without reference to the federal ruling.

II. Misrepresentation and Knowledge

First, Defendants argue that the second cause of action merely restates the breach alleged in the first, because an omission to perform a contract obligation becomes a tort only if it also omits a legal duty.

Promissory fraud is a subspecies of fraud and deceit. A promise implies an intention to perform, so a promise made without that intention carries an implied misrepresentation of fact that may be actionable, and an action lies where a defendant fraudulently induces the plaintiff to enter into a contract. (*Lazar v. Superior Court* (1996) 12 Cal.4th 631, 638 (*Lazar*).) The tort alleged here is not a failure to perform. It is a promise made without the intent to keep it, which misrepresents a then-existing state of mind and breaches the duty not to deceive. (*Ibid.*)

Next, Defendants argue that the Complaint pleads no misrepresentation, because it pleads no facts showing that Defendants lacked the intent to perform in January 2025, and that knowledge of falsity fails for the same reason.

To plead the misrepresentation, a plaintiff must allege (1) that the defendant made a representation of intent to perform some future action, and (2) that the defendant did not hold that intent when the promise was made. (*Beckwith v. Dahl* (2012) 205 Cal.App.4th 1039, 1060 (*Beckwith*).) A plaintiff must plead fraud specifically. The particularity requirement "necessitates pleading facts which 'show how, when, where, to whom, and by what means the representations were tendered.'" (*Lazar, supra*, 12 Cal.4th at p. 645.) Where the defendant is a corporation, the plaintiff must also allege "the names of the persons who made the allegedly fraudulent representations, their

authority to speak, to whom they spoke, what they said or wrote, and when it was said or written.” (Ibid., quoting *Tarmann v. State Farm Mut. Auto. Ins. Co.* (1991) 2 Cal.App.4th 153, 157.)

Here, the Complaint pleads the promise with the required particularity. It names the speaker (Lin) and the listener (Plaintiff), the means (a telephone call), and the time (late January 2025). Lin offered Plaintiff the office of chief executive for three years at \$220,000 annually plus 7.5 percent of Aether’s equity, effective on the close of the 45-day quiet period. (Compl. ¶ 9.)

Defendants separately object that paragraph 14 lacks particularity because it identifies neither the other people at Aether involved in the cryptocurrency activities nor the time, place, and content of those activities. (Demurrer at p. 7:21-28.) The particularity requirement governs how a plaintiff pleads the misrepresentation, and the Complaint satisfies it by attributing the representation to a named officer speaking for Aether during a telephone call to Plaintiff. (Compl. ¶ 9.) Paragraph 14 pleads no representation. It pleads circumstances bearing on the promisor’s intent, and as to intent a general allegation suffices.

Plaintiff pleads falsity as well. “As for the second requirement, the falsity of that promise is sufficiently pled with a general allegation the promise was made without an intention of performance.” (Beckwith, *supra*, 205 Cal.App.4th at p. 1060.) A pleader need not allege evidentiary matter showing the absence of that intention, because “the only necessary averment is the general statement that the promise was made without the intention to perform it, or that the defendant did not intend to perform it.” (Ibid., quoting 5 Witkin, *Cal. Procedure* (5th ed. 2008) Pleading, § 725 at p. 142.) Plaintiff makes that averment. (Compl. ¶ 24.) A promise is false only if the promisor lacked the intent to perform when he made it, so a pleading that alleges the promise’s falsity also alleges knowledge of that falsity. (Beckwith, *supra*, 205 Cal.App.4th at pp. 1061-1062.)

Beckwith applied the rule to direct that a demurrer to a cause of action for promissory fraud be overruled. That the complaint there pleaded particulars as well does not make particulars a requirement. The earlier decision states the rule in the same terms. “To plead misrepresentation, the necessary averment is the general statement that the promise was made without any intention to perform it, or that the defendant did not intend to perform it.” (Tyco

Industries, Inc. v. Superior Court

(1985) 164 Cal.App.3d 148, 156.) The writ issued in Tyco because the pleading, which alleged a cause of action under Labor Code section 970, “fail[ed] to allege that Tyco intended not to perform under his relocation agreement as it had promised.” (Id. at p. 157.) Here, Plaintiff alleges what that pleading lacked. (Compl. ¶ 24.)

Defendants rely on Reeder v. Specialized Loan Servicing LLC (2020) 52 Cal.App.5th 795, 803-804, where a borrower alleged that his lender never intended to honor a promised refinancing, and the court held that allegation too general and conclusory to state a fraud claim. (Demurrer, pp. 5:18-20, 7:8-10.) The pleading in Reeder offered nothing more, and the decision rested as well on the absence of facts showing justifiable reliance on a promise to refinance on terms to be fixed ten years later. (Reeder, supra, 52 Cal.App.5th at p. 804.)

Here, the Complaint pleads surrounding circumstances. Lin gave two reasons for the repudiation: Aether's turn to cryptocurrency and his contacts in that market. Both describe a state of affairs that already existed when he made the promise, because he and others at Aether had been developing those activities and contacts for at least a year before the offering and alongside it. (Compl. ¶¶ 13-14.) Aether waited until the quiet period closed to disclose the shift. (Compl. ¶¶ 12-14.) Courts have inferred fraudulent intent from similar circumstances. (Tenzer v. Superscope, Inc. (1985) 39 Cal.3d 18, 30 [identifying, on review of a summary judgment, a defendant's “hasty repudiation of the promise” and his “continued assurances after it was clear he would not perform”].)

Defendants add that the Complaint's allegations of assurances and preparation defeat any inference of fraudulent intent, because a chief executive who tells employees, bankers, and outside counsel that the plaintiff will succeed him meant to perform. (Demurrer at p. 8:2-14; Reply, pp. 5:4-16, 6:13-21.) The argument asks the Court to choose between competing inferences drawn from the pleaded facts. “It is not the ordinary function of a demurrer to test the truth of the plaintiff's allegations or the accuracy with which he describes the defendant's conduct.” (Committee on Children's Television, Inc. v. General Foods Corp. (1983) 35 Cal.3d 197, 213.) On demurrer, the Court draws those inferences in Plaintiff's favor.

III. Reliance and Damage

Defendants argue that Plaintiff pleads no damage flowing from reliance, only the compensation the promise would have brought him, and that the pleading must show how the actions he took in reliance produced the loss.

Lazar holds that a fraudulently hired employee must look to his contract claim for the income lost through the failure to perform. The fraud claim reaches the detriment separate from that failure, such as the expense and disruption of a move, or the security and income given up in leaving prior employment. (Lazar, *supra*, 12 Cal.4th at pp. 646, 648-649.) Plaintiff reads page 646 to allow a fraud plaintiff benefit-of-the-bargain damages on the fraud claim itself. (Opp. at p. 13:15-18.) That reading does not survive *Simon v. San Paolo U.S. Holding Co., Inc.* (2005) 35 Cal.4th 1159, 1176, footnote 4, which explains that the reference in Lazar was to recovery under a contract cause of action. But that allocation governs what Plaintiff may recover on each claim. It leaves open whether the second cause of action pleads reliance and damage at all.

Here, Plaintiff accepted the offer and began performing in reliance on the promise, giving Aether his full time, effort, and expertise for months and taking on the office leadership responsibilities promised to him. (Compl. ¶¶ 10-12, 26.) He was paid nothing and received none of the promised equity. (Compl. ¶ 28.) Those allegations state both that reliance led Plaintiff to take a course of action and that the course of action cost him.

Defendants' principal authority on the damage element addressed a different pleading. In *Service by Medallion, Inc. v. Clorox Co.* (1996) 44 Cal.App.4th 1807, 1818-1819, a contractor's expenditures in preparing to perform were not fraud damages. The parties had performed the service agreement for several months, and the expenditures were essential to that performance, so only the later termination turned them into losses. The court added that "[i]f the contract had not been performed, we might agree that these expenditures constituted damages proximately caused by the misrepresentations," and it identified Lazar as the case in which the misrepresentations were an integral part of the contractual relationship. (*Id.* at p. 1818.) As pleaded, the promise here was never performed.

Plaintiff may or may not recover the value

of his uncompensated services as fraud damages; that loss may instead fall within the contractual expectancy the Complaint pleads as his harm. An objection aimed at the measure of recovery is not a ground for a general demurrer. “[A] demurrer cannot rightfully be sustained to part of a cause of action or to a particular type of damage or remedy.” (Kong v. City of Hawaiian Gardens Redevelopment Agency (2003) 108 Cal.App.4th 1028, 1047.) The Court concludes that the second cause of action pleads reliance and resulting damage.

IV. Lin's Individual Liability

Defendants argue in the alternative that the Complaint charges Lin with no fraudulent conduct of his own. On their reading, it alleges only that he conveyed Aether's terms within the course and scope of his employment, and it pleads the absence of intent collectively against “Defendants.” (Demurrer at p. 10:2-18; Reply at p. 9:13-23.) Plaintiff responds that Lin made the promise, repudiated it, and took part himself in the change of strategy on which the repudiation rested. (Opp. at pp. 14:10-15:9.)

A corporate officer bears no vicarious liability for his corporation's torts, but he remains liable for his own tortious conduct. “Directors are liable to third persons injured by their own tortious conduct regardless of whether they acted on behalf of the corporation and regardless of whether the corporation is also liable.” (Frances T. v. Village Green Owners Assn. (1986) 42 Cal.3d 490, 504.) The corporate form “was never intended to insulate officers from liability for their own tortious conduct.” (Id. at pp. 507-508.) A plaintiff must show that the officer specifically authorized, directed, or participated in the tortious conduct. (Id. at p. 508.) Civil Code section 2343 states the same principle, holding an agent answerable to third persons for acts within the agency that “are wrongful in their nature.” (Civ. Code, § 2343, subd. (3).)

Here, the wrong alleged is a promise made without the intent to keep it, and Lin made that promise. (Compl. ¶ 9.) For at least a year before he made it, he had been engaged in the cryptocurrency activities that supplied the stated reason for the repudiation. (Compl. ¶ 14.) He delivered the repudiation, and he kept the office he had promised to vacate. (Compl. ¶ 13.) Those allegations describe Lin's own conduct. Whether he personally undertook to pay the salary or transfer the equity does not matter, because the claim sounds in deceit.

Defendants argue that every statement Plaintiff attributes to Lin, apart from the promise itself, came after the agreement was formed and thus cannot establish fraud. (Reply at p. 10.) But the promise is the conduct charged, and Lin is alleged to have made it. What he said and did afterward is pleaded as circumstantial evidence of the intent with which he made it.

Defendants' remaining objection is that the Complaint pleads the absence of intent as to "Defendants" collectively. (Compl. ¶ 24.) Paragraph 9 names Lin as the promisor, and paragraphs 13 and 14 describe his part in the strategy shift and the repudiation. Read with those allegations, paragraph 24 acquaints Lin with the conduct charged to him. Accordingly, the Demurrer to the Second Cause of Action as against Lin individually is overruled.

CONCLUSION

The Demurrer to the Second Cause of Action in Plaintiff's Complaint is overruled. Defendants have 10 days to answer.